

of another Government company and, thus, Government could get non-debt creating capital receipts.

Various models were tried for privatisation. There could be three simple models: (i) ownership, (ii) organisational, and (iii) operational. Disinvestment or divestment is related to ownership question. Sometimes, it is suggested that Indian Railways may be corporatised. Here ownership does not change but organisational structure changes; it is no more run by the department or a board under it. Corporation works at arm's length distance. Unit can be leased to private hands for long period.

Disinvestment of ownership, if made for 50 per cent or more along with handing over control and management is called strategic disinvestment. If dilution is for less than 50 per cent, which it has to be in case of undertakings in (strategic) areas reserved for public sector, it is called non-strategic. Government sold some of its hotels and some of the companies like BALCO completely. Government keeps selling part of its shares through several methods. To begin with it sold shares to other public sector financial companies like LIC and GIC. There have been around 200 successful attempts.

There is another experiment called public-private partnership which was attempted particularly in building up the momentum on development of infrastructure projects.

7.6.3 Globalisation of the Economy

The term globalisation has several meanings, varying from exposure to competition with the world leaders in a particular product market to free trade in goods, services and factors. Globalisation of an economy with world economy could be thought in terms of economic relations but they ought to be in terms of interface of markets rather than between governments and in terms of bilateral (or multilateral) flows rather than unilateral flows like aid. But if Government of one country bans imports, puts quota restrictions or creates a high tariff wall by imposing 300 per cent duty, how could producers in a country sell even if there were buyers in another country. There could be rationale behind such restrictions: protection of domestic industry from competition, insufficiency of forex availability due to weak export earnings, etc. However, it is argued that such measures protect inefficiencies of domestic producers and harms the consumers. Removal of such restrictions could induce domestic producers to be either competitive or switch to other products. In other words, open the economy for trade and investment creating the scope for consumers to benefit with better quality and invariably cheaper products.

We know that multinational and transnational corporations have plants in several countries. They produce goods and services in the host countries and sell in the domestic markets of the host country, instead of exporting from home country, as it saves them transportation cost. This requires movement of capital across borders. Thus, globalisation of an economy would mean:

- a) Reduction in tariff barriers with a view to allowing freer flow of goods to and from the country;
- b) Freer flow of foreign capital in terms of investment – both direct and portfolio – by ensuring conducive atmosphere and easy approval of projects;

- c) Freer flow of technology through purchase or lease of IPRs; and
- d) Freer movement of labour and manpower.

When India started liberalising its economy, WTO was under negotiation in Uruguay Round. It became operational in 1995 and sought freer trade through unrestricted competition by removal of non-tariff barriers and substantial reduction in tariff barriers as also removal or reduction of subsidies. WTO extended the areas traditionally covered by GATT (General Agreement on Trade and Tariff) by including GATS (General Agreement on Services) and TRIPS (Trade Related Intellectual Property Rights), and TRIMS (Trade Related Investment Measures). Thus, goods, services, technology, and capital were covered in some way.

Since Doha Round of WTO could not be satisfactorily concluded, countries have simultaneously gone for forming Free Trade Areas, Comprehensive Economic Cooperation/Partnership, Customs Union, etc. European Union is the chief example, though not related with failure of WTO. India has negotiated quite a few, in fact more than two dozen, regional or bilateral partnerships.

Check Your Progress 5

- 1) Distinguish liberalisation from laissez faire.

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- 2) Explain the meaning of disinvestment in a public sector enterprise.

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- 3) Delineate the elements of globalisation of an economy.

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7.7 GENERATIONS AND WAVES OF ECONOMIC REFORMS

Reforms are often said to be a continuing process but scholars and policymakers have a tendency to categorise reforms into certain categories— calling them as

levels, generations, waves, or, following digital style, versions. It is also suggested that while neoliberal reforms have a universal constitution, different nations may have different pace and sequence. IMF scholars suggest that they may not exactly fall in neat time sequence. They also suggest that reforms may be guided by two perspectives: (i) global and (ii) national. We shall adhere to national perspective.

While following neoliberal direction, different nations will have some uniqueness of their own in terms of pace and sequencing as their economic conditions differ. Politics and bureaucracy will determine the pace and sequencing. For example, such reforms were halted when India had unstable governments with limited terms in the late 1980s and the late 1990s. Reforms may have suffered, rather reversed, during the East Asian Currency Crisis or the Great Recession of 2008-09 and there was call for more open global financial architecture.

At the end of last century, it was assessed that reforms that were easy to implement in terms of resistance of bureaucracy or politicians, were carried out in the initial phase. First, they were to be carried out in terms of conditionalities imposed by loan sought from IMF and WB. Second, they could be carried out by executive actions, not seeking political support, as recommended by the committees set up for the purposes. Devaluation of rupee, ease of restrictions for establishing an enterprise and expansion of capacity, easing import restrictions, de-reservation of items for small scale industries, diluting government shares in public sector undertakings, etc. did not require legislative interventions. They have been called first generation reforms and the period was identified as 1991-1999. In terms of digital jargon, they have been termed as Reforms 1.0 under Prime Minister PV Narasimha Rao and Finance Minister Manmohan Singh during 1991-96. Some reforms in the subsequent period were in the nature of deepening of measures previously taken so that reversing them was not easy anymore.

In order to appreciate the distinction between generations of reforms, one should remember the difference between an Act and the Rules under it. Practically, every Act passed by a Legislature has a clause “Power to Make Rules” by the Executive. Rules generally describe the procedure, forms, schedule, direction, fees, fines, etc. but can include regulations, orders, bylaws, etc. Executive makes them and is obliged to submit to the Legislature for scrutiny within a limited period, which in practice is scant. Changing rules is far easier than changing Act. Second generation reforms are said to be those that require legislative sanctions through enactment or amendment. There are others who think that the second generation reforms refer to consolidation of first generation reforms plus reforms related to legal, regulatory, and political institutions. During 1999-2004, for example, many Acts were passed under NDA government, which had bearing on Economic Reforms. Some of them are: Repeal of Urban Land Ceiling Act, Prevention of Money Laundering Act, Fiscal responsibility and Budget Management Act, Central Vigilance Commission Act, and Competition Act. In compliance, several regulatory authorities were instituted. Subsequently, many Reform Acts were passed by UPA government: Factory Regulation Act, Limited Liability Partnership Act, Replacement of Companies Act of 1956 by Companies Act of 2013, etc. It does not mean that no legislative attempts were made in 1991-96. For example, SEBI was given statutory status in 1992.

Some scholars and policymakers, deliberating on 25 years of Economic Reforms in 2016, recommended an agenda for Economic Reforms 2.0. Others have referred